

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

M.E. DEY & CO., INC., *Complainant*

v.

HAPAG-LLOYD AG AND HAPAG-LLOYD (AMERICA) LLC,
Respondents and Third-Party Complainants

v.

CSX TRANSPORTATION, INC., *Third-Party Respondent.*

DOCKET NO. 22-35

Served: May 17, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge.*

**ORDER GRANTING THIRD-PARTY RESPONDENT CSX TRANSPORTATION’S MOTION TO
DISMISS THE THIRD-PARTY COMPLAINT AND RESETTING BRIEFING SCHEDULE¹**

I. Background

On December 23, 2022, the Federal Maritime Commission (the “Commission” or “FMC”) issued a notice of filing of complaint and assignment initiating this proceeding. On January 17, 2023, Hapag-Lloyd America filed a motion to dismiss. On February 1, 2023, Dey filed a motion for leave to file an amended complaint adding the ocean carrier Hapag-Lloyd AG as a respondent (respondents/third-party complainants will be collectively referred to as “Hapag”). Hapag did not file an opposition to the motion for leave. On February 28, 2023, the Presiding Officer granted M.E. Dey & Co., Inc.’s (“Dey”) motion for leave to amend its complaint and denied the motion to dismiss as moot. On March 1, 2023, the Commission issued a notice of filing of amended complaint and assignment. On March 27, 2023, Hapag filed an answer to Dey’s Amended Complaint.

On March 31, 2023, the Commission’s Bureau of Enforcement, Investigations, and Compliance (“BEIC”) filed a motion to intervene in the proceeding. In its motion, BEIC advised

¹ Any party desiring to appeal the granting of a motion for dismissal must file such appeal no later than twenty-two (22) days after service of the ruling on the motion in question. 46 C.F.R. § 502.227 (b)(1). In the absence of appeal, this order shall become the order of the Commission thirty (30) days after date of service unless the Commission decides to review. 46 C.F.R. § 502.227(c).

the Commission that it “does not seek to participate in discovery, examination of witnesses, or the presentation of evidence” but sought to participate as a limited party to primarily participate in briefing and “reserving the ability to address jurisdictional or other procedural issues.” On April 7, 2023, Hapag filed a response to BEIC’s motion to intervene, stating that it takes “no position on the merits of the Motion. Respondents submit this reply solely for purposes of noting for the record their disagreement with the manner in which the facts relating to this proceeding are characterized in the Motion.” On April 10, 2023, the Presiding Officer granted BEIC’s motion to intervene.

On April 13, 2023, Hapag filed a motion for leave to file a third-party complaint against CSX Transportation, Inc. (“CSXT”). On April 27, 2023, the Presiding Officer denied Hapag’s motion finding that while “[Hapag] sets forth factual allegations and further alleges ‘causation and injury to complainants,’ [Hapag] does not clearly allege a violation of the Shipping Act or OSRA.” On May 4, 2023, Hapag filed a renewed motion for leave to file a third-party complaint. On May 8, 2023, the presiding officer granted Hapag’s motion to file its third-party complaint, finding that, as revised, the complaint alleged violations of Sections 41102(c) and 41104(a)(14) of the Shipping Act. On May 12, 2023, the FMC published a notice of filing of third-party complaint. On June 5, 2023, counsel for CSXT entered a special appearance for the purpose of challenging the Commission’s jurisdiction over CSXT and filed a motion to dismiss the third-party complaint. On June 20, 2023, Dey and Hapag filed oppositions to the motion, and CSXT filed a reply on June 27, 2023. This matter was reassigned to the undersigned on June 21, 2023. Discovery was subsequently completed, and the briefing schedule stayed at the request of the parties pending resolution of this motion.

Hapag’s third-party complaint against CSXT consists of two counts. The first is an alleged violation of 46 U.S.C. § 41102(c), which prohibits a common carrier or marine terminal operator from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, and delivering property.” Hapag alleges that Dey contracted with Hapag to transport 16 containers from Rotterdam to Nashville. Third-Party Compl., ¶ 15. Hapag moved the containers by ocean transport from Antwerp, Belgium to Charleston, South Carolina, and they were transported by Hapag’s subcontractor, CSXT, from Charleston to CSXT’s rail terminal in Nashville, Tennessee under the same bill of lading. *Id.* at ¶¶ 16-17. CSXT “independently assessed, billed, collected, and retained the \$136,500 in storage fees at issue [in Dey’s complaint] without prior notice to or approval of [Hapag].” *Id.* at ¶ 41. Although the Third-Party Complaint does not explicitly connect these dots, it is reasonable to presume that Hapag contends that it was CSXT’s “failure to permit Dey’s motor carrier to provide its own chassis constitute[ing] an unreasonable practice that violates § 41102(c),” that resulted in the contested fees. See Third-Party Compl., ¶ 44. The argument being that it is not Hapag, but Hapag’s subcontractor CSXT, that violated the Shipping Act and should be liable for any potential reparations to Dey. *Id.* at ¶ 43.

Count II is based on 46 U.S.C. § 41104(a)(14), which provides that “a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not...assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, include subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).” The factual basis of Count II echoes Count I – CSXT

assessed the contested charges to Dey in violation of § 41102(c) – and is premised on the contention that CSXT is “any other person” for purposes of § 41104.

The parties’ arguments with respect to jurisdiction fall into several broad categories. First, they disagree as to the appropriate standard for determining whether and to what extent the Commission may exercise jurisdiction over rail carriers such as CSXT. Second, they argue over the impact of *TCW v. Evergreen* on the relevant jurisdictional analysis. Finally, Hapag and Dey contend that CSXT’s motion to dismiss is premature because the jurisdictional question is inextricably bound up with the merits of the case.

II. Analysis

A. Motion to dismiss standard

Although the Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions to dismiss, Rule 12 states that the Federal Rules of Civil Procedure (“FRCP”) will be followed in instances that are not covered by the Rules, to the extent that application of the FRCP is consistent with sound administrative practice. 46 C.F.R. § 502.12. CSXT’s motion to dismiss alleges that the third-party complaint fails to plausibly establish subject matter jurisdiction. Whether the third-party complaint sets forth sufficient facts to establish that CSXT is a regulated entity subject to the Shipping Act provisions at issue is a question of subject matter jurisdiction, and its failure to do so would require dismissal of the third-party complaint. The determination of whether there is Commission jurisdiction in this case requires an analysis of whether CSXT is “[e]ngaged ... in the business of furnishing wharfage, dock, warehouse, or other terminal facilities.” 46 U.S.C. § 40102(14). If CSXT is engaged in such business, the inquiry then turns to whether its activities are “in connection with a common carrier.” *Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, FMC Docket No. 06-02, 2007 WL 2468431, at *4 (F.M.C. Aug. 2, 2007).

The Commission looks to FRCP 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 WL 6445041, at *4 (FMC Oct. 29, 2020). Under FRCP 12(b)(1), there are two types of jurisdictional attacks: (1) a factual attack, which challenges the existence of subject matter jurisdiction using material extrinsic from the pleadings, such as affidavits or testimony; and (2) a facial attack, in which a respondent’s challenge is confined to whether the complainant has sufficiently alleged a basis of subject matter jurisdiction. *Stalley ex rel. U.S. v. Orlando Reg’l Healthcare Sys., Inc.*, 524 F.3d 1229, 1232–33 (11th Cir. 2008); *see also Osborn v. United States*, 918 F.2d 724, 729-730 (8th Cir. 1990).

Where, as here, a respondent challenges the sufficiency of the allegations regarding subject matter jurisdiction—a facial challenge—a court will employ the *Twombly-Iqbal* “plausibility” standard, which is the same standard used to evaluate facial challenges to claims under FRCP 12(b)(6). *Pena v. Ortiz*, 521 F. Supp. 3d 747, 750 (N.D. Ill. 2021). Under this plausibility standard, the Commission will dismiss a claim if the complainant fails to plead “enough facts to state a claim for relief that is plausible on its face.” *Maher Terminals, LLC v. the Port Auth. of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (*quoting Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570, (2007)). Facial

plausibility requires factual content that allows a court “to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009)). The factual content includes the facts alleged in the complaint, documents attached to or incorporated by reference in the complaint, and matters subject to official notice (including judicially noticeable facts and “technical or scientific facts within the general knowledge of the Commission”). *Id.* at *41 (citing *Farah v. Esquire Magazine*, 736 F.3d 528, 534 (D.C. Cir. 2013); *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002); 46 C.F.R. § 502.226(a)).

To allow the necessary inferences to be reasonably drawn, the complaint’s factual allegations must be more than speculative, more than merely consistent with a respondent’s liability, and must “nudge claims across the line from conceivable to plausible.” *Id.* (quoting *Elemary v. Holtzmann*, 533 F. Supp. 2d 116, 130 (D.D.C. 2008)). The plausibility standard is not a probability requirement – while actual proof of the alleged facts may be improbable, and recovery may seem remote and unlikely, the standard does not require the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible. *Id.*

While this standard does not require detailed factual allegations, it does require more than labels, conclusions, or a recitation of the elements of a cause of action. *Id.* The Commission need not accept as true legal conclusions or draw inferences that are not supported by the allegations. *Id.* Legal conclusions can provide the framework of the complaint, but they must be supported by factual allegations. *Id.* at *13. The factual allegations needed to reach plausibility will vary depending on the complexity of the case and require the presiding officer to draw on judicial experience and common sense. *Id.*

B. Jurisdiction over rail carriers

In its motion to dismiss the third-party complaint, CSXT argues that Hapag’s allegations against CSXT under 46 U.S.C. 41102(c) are applicable only to common carriers, marine terminal operators, or ocean transportation intermediaries and its allegations under 46 U.S.C. 41104(a)(14) only to common carriers. As a “rail and intermodal transportation carrier,” CSXT does not meet the statutory definitions for any of these regulated entities and so the Commission lacks jurisdiction over CSXT with respect to Hapag’s claims. Further, in response to comments regarding its 2020 interpretive rulemaking on demurrage and detention, the Commission clarified that it lacks authority to address practices of railroads or rail facilities unless they fall within the statutory definition of common carriers, marine terminal operators, or ocean transportation intermediaries. Section 41102(c) jurisdiction extends to these entities whether their challenged practices occur at ports or inland but does not extend to their subcontractors or otherwise non-regulated entities such as CSXT. CSXT also argues that Hapag’s allegations that its own delivery obligations had ended and CSXT was handling Dey’s cargo suggests that CSXT’s obligations to Dey arose not under Hapag’s intermodal through bill of lading, but under a separate agreement over which the Commission would lack jurisdiction. And since § 41104(a) is applicable to common carriers; the language “a common carrier, either alone or in conjunction with any other person” in Section 41104(a) does not extend Commission jurisdiction to the activities of “other persons” who are not common carriers. Rather, this provision makes clear that Hapag may not evade responsibility for its agents’ or subcontractors’ practices.

In response to the motion, Hapag argues that a marine terminal operator provides terminal facilities – arrangements which ease transfer of goods at either end of a stage of transportation service – in connection with a common carrier; this includes railroads who perform port terminal services not covered by their line haul rates. Since CSXT was responsible for transferring Dey’s containers from rail to motor transport at its Nashville facility, it is a marine terminal operator subject to Commission jurisdiction with respect to those containers. According to Hapag, the Commission’s Interpretive Rule on Demurrage and Detention, which CSXT relies on its motion, is a non-binding interpretive rule displaced by the holding of *TCW v. Evergreen*.

Dey also filed a response to CSXT’s motion, relying on *Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Comm’n*, in which the D.C. Circuit affirmed an interpretation of marine terminal operator that included an entity that did not operate any terminal facilities, but nevertheless had sufficient involvement to discriminate under the Shipping Act. Since CSXT has complete control over its Nashville facility and prevents the release of maritime cargo until demurrage and detention charges are paid, it is subject to Commission jurisdiction with respect to any such cargo.

In its reply, CSXT responded to the oppositions by arguing that while a rail carrier may in theory be a marine terminal operator for purposes of the Shipping Act, a complainant must allege sufficient facts to plausibly establish such status. And even under *Plaquemines*, there must be some connection between the entity’s activities and a port or marine terminal. Hapag does not allege sufficient facts to connect CSXT’s activities at its Nashville facility to any port or marine terminal, so its third-party complaint does not establish jurisdiction over CSXT as a marine terminal operator. Further, the Interpretive Rulemaking on Demurrage and Detention expresses the Commission’s views on jurisdiction over inland rail terminal under through bills of lading, and *TCW v. Evergreen* does not address, much less depart from, this guidance.

Hapag’s attempt to bring CSXT into this case by way of a third-party complaint is understandable – it is easier for the parties to have all their disputes adjudicated in one action, rather than Shipping Act liability before the Commission and contractual claims before a court or arbitrator. But an administrative agency’s jurisdiction is limited by the statute which it administers. *Burlington Northern Railroad Company v. M.C. Terminals, Inc.*, Docket No. 91-06, 1992 WL 366150, at *16, (FMC Oct. 1, 1992). And a claim for contractual indemnification, or for common law indemnification, is not the type of claim over which the Commission has jurisdiction in the absence of a cognizable Shipping Act violation. *Cf. Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 WL 7144008, at *12 (FMC Aug. 1, 2011) (Commission did not have jurisdiction to decide a crossclaim based on breach of a stock purchase agreement and state law in the absence of any alleged Shipping Act violation on the part of the crossclaim defendant). The Commission does not exercise the authority of a court of law or of equity – its jurisdiction is limited to administering and enforcing the requirements of the Shipping Act and related Acts. *European Trade Specialists, Inc. v. Prudential-Grace Lines, Inc.*, 19 F.M.C. 148, 151 (FMC 1976).

In *Pate Stevedore*, ALJ Kline granted third-party respondent Aetna Casualty and Surety Co.’s motion for summary judgment on the basis of jurisdiction, finding that even though Aetna succeeded to the rights and obligations of its insured, a marine terminal operator, under

Alabama's "direct action" statute (a statute permitting insurance contracts that allow for an injured party's direct right of action against an insurance carrier for any claims against its insured), and even though Aetna was asserting the rights of the marine terminal operator in a state court action, Aetna did not become a marine terminal operator for purposes of Shipping Act jurisdiction. *Pate Stevedore Co. of Mobile v. Alabama State Docks Dep't*, Docket No. 87-13, 24 S.R.R. 657, 666-669 (ALJ Dec. 2, 1987). Judge Kline agreed that it might be "worthwhile to have jurisdiction over an insurance company like Aetna under the facts of this case." *Id.* at 669. But the Commission's authority was limited to its authorizing statutes, which did not include insurance companies or direct-action defendants in the definition of marine terminal operators. *Id.* Notwithstanding the remedial nature of the Shipping Act and the possibly salutary effects of asserting jurisdiction over such parties, an agency cannot extend its jurisdiction outside of the scope authorized by Congress. *Id.* at 665 (citing *Austasia Intermodal Lines v. FMC*, 580 F.2d 642, 646-647 (D.C. Cir. 1978)).

These considerations are particularly important when considering Commission jurisdiction over a railroad such as CSXT because railroads are subject to the jurisdiction of the Surface Transportation Board ("STB"), and the Commission must "refrain from intruding on that jurisdiction." See *Burlington Northern RR Co. v. M.C. Terminals, Inc.*, Docket No. 91-06, 1992 WL 366150, at *22 (ALJ Oct. 1, 1992) ("Congress long ago evinced the intention that the FMC steer clear of regulating activities of [Interstate Commerce Commission – now STB]-regulated carriers that might overlap FMC-regulation functions."). The Commission reaffirmed this cautionary principle in connection with the Interpretive Rule on Demurrage and Detention:

[T]he Commission must be careful not to encroach into the jurisdiction of other agencies, such as the Surface Transportation Board, which is itself considering issuing guidance to railroads similar to that in the Commission's rule.

Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638 at 29650 (Final Rule May 18, 2020) (citing Surface Transp. Bd., Policy Statement on Demurrage and Accessorial Rules and Charges (STB Oct. 4, 2019)).²

So in order to find that the Commission has jurisdiction over CSXT in connection with this case, I must find sufficient factual material in the third-party complaint from which to determine that CSXT was acting as a regulated entity with respect to the shipments at issue. As stated above, the third-party complaint alleges violations of 46 U.S.C. § 41102(c) and § 41104(a)(14). Third-Party Compl., ¶¶ 35-44 (Count I) and ¶¶ 45-48 (Count II). The jurisdictional scope of these provisions is limited to specific classes of regulated entities. Section 41102(c) provides that "[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." And § 41104(a)(14) provides that a "common carrier, either alone or in conjunction with any other person," shall not "assess any party for a charge that is inconsistent or does not comply with all

² The STB subsequently issued a final policy statement, along with its final rule governing demurrage billing requirements, which can be accessed here: <https://www.stb.gov/news-communications/latest-news/pr-20-03/>.

applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).”

The terms *common carrier*, *marine terminal operator*, and *ocean transportation intermediary* are defined in the Shipping Act. The third-party complaint does not explicitly describe CSXT as any of these regulated entities, but the parties’ briefs focus on CSXT’s purported role as a marine terminal operator, so I will assume there is no contention that CSXT qualifies as a common carrier or ocean transportation intermediary. A *marine terminal operator* is defined as “a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier.” 46 U.S.C. § 40102(15). The third-party complaint describes CSXT as a “rail and intermodal transportation carrier,” providing “the inland portion of the through transportation” from Antwerp, Belgium to Nashville, TN via Charleston, SC. Third-Party Compl., ¶¶ 6, 8, 16. Hapag AG acted as the ocean common carrier from Antwerp to Charleston, and CSXT then transported the containers by rail from Charleston, SC to CSXT’s facility in Nashville, TN under the same bills of lading. Third-Party Compl., ¶¶ 16-17, 37, 40. The demurrage charges at issue are those allegedly charged, collected, and retained by CSXT for storage of the containers at its railyard in Nashville. Third-Party Compl., ¶¶ 19, 28-33.

The Commission has opined on the issue of whether the inland portion of through transportation would be subject to Shipping Act jurisdiction for purposes of assessing the reasonableness of practices related to demurrage and detention in numerous cases, and its views were summarized in connection with its 2020 interpretive rulemaking on demurrage and detention, in response to comments about proposed language now codified as 46 C.F.R. § 545.5:

Another scope-related comment involved the application of the rule outside of marine terminals. The American Cotton Shippers Association noted that ocean carriers, “responding to the demands of consumers, have crafted service contracts that incorporate inland movements and services” and “[t]hus the reasonableness of detention and demurrage practices and regulations, as they apply to inland movements in point-to-point service contracts, have an equally significant impact on the fluidity of all ocean-borne trade.” It urges that the rule account for the inland components of ocean-borne shipping transactions and apply to point-to-point service contracts. Similarly, IMC Companies believes there is a “gray area of jurisdiction” in intermodal shipping, and requests “greater clarity directed to ocean carriers['] intermodal shipments moving on a through bill of lading with regard to application of the incentive principles the FMC has outlined.”

Nothing in the rule limits its scope to shipping activities occurring at ports or marine terminals. Rather, section 41102(c) concerns ocean carrier, marine terminal operator, and ocean transportation intermediary practices and regulations “relating to or connected with receiving, handling, storing, or delivering property.” Ocean carrier demurrage and detention practices are subject to section 41102(c) and Commission oversight, regardless of whether the practices relate to conduct at ports or inland, with some caveats.

Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638 at 29650 (Final Rule May 18, 2020). The commentary reiterates the unambiguous jurisdictional

prerequisite of the statute – that it is applicable to ocean carriers, marine terminal operators, and ocean transportation intermediaries. The first of the two “caveats” is that the regulated entity must be acting in its regulated capacity with respect to the alleged violation:

[N]ot everything an ocean carrier or marine terminal operator does is within the Commission’s purview—an ocean carrier or marine terminal operator must be acting as a common carrier or marine terminal operator as defined by the Shipping Act with respect to the conduct at issue. This is often not a difficult question, but the further one gets away from the terminal, the more complicated the inquiry may become, and it is not a question that can always be answered in the abstract.

FMC Interpretive Rule, 85 Fed. Reg. 29638 at 29650 (*citing Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. Appx. 347, 348 (9th Cir. 2015) (“The Commission reasonably concluded that it makes little sense to bring into its regulatory ambit all facilities operated by an entity merely because a single one of them is connected to international marine transportation.”); *Crocus Investments, LLC v. Marine Transp. Logistics, Inc.*, 1 F.M.C.2d 403, 415 (FMC 2019) (“The approach supported by the text of section 41102(c) and Commission caselaw asks: was the respondent acting as a regulated entity with respect to the conduct at issue?”)).

The second “caveat” is that the applicability of § 41102(c) to the inland segment of through transportation does not expand the Commission’s jurisdiction to railroads outside of the context in which they are acting as marine terminal operators:

Second, the Commission must be careful not to encroach into the jurisdiction of other agencies, such as the Surface Transportation Board, which is itself considering issuing guidance to railroads similar to that in the Commission’s rule.

Commenters were also concerned about railroads and railyards. To be clear, section 41102(c) of the Shipping Act applies to common carriers, marine terminal operators, and ocean transportation intermediaries. The Commission is without authority to address practices of railroads or rail facilities unless they fall within one of those statutory definitions. That said, if the practice at issue relates to rail but is nonetheless an ocean carrier practice, e.g., is contained in an ocean carrier tariff or service contract, then the guidance in the rule would likely apply.

In sum, the rule is not limited, in its language or intent, to import shipments, nor is it limited solely to ocean carrier practices related to conduct at marine terminals. The precise outer bounds of the Commission’s authority, however, is a subject better resolved in the context of a particular factual scenario.

FMC Interpretive Rule, 85 Fed. Reg. 29638 at 29650. So while there does not appear to be a bright-line test for assessing whether a rail carrier is acting as a marine terminal operator, relevant considerations are the connection of the rail carrier’s conduct to operation of a marine terminal, and whether the practice is contained in an ocean carrier tariff or service contract.

As to the first considerations, the third-party complaint is silent as to any terminal services that may have been provided by CSXT at Charleston (information which is presumably available to Hapag), which could provide a basis for concluding that, at least at some point,

CSXT acted as a marine terminal operator. The third-party complaint is unequivocal in its insistence that CSXT had already transported the goods from the terminal at Charleston, SC to its railyard in Nashville, TN before the alleged violation occurred. Third-Party Compl., ¶¶ 14, 16, 19, 28-29. It seems fair to say that CSXT's railyard in Nashville is not a marine terminal. And nothing in the third-party complaint ties CSXT's operation of its inland rail yard to operations at Charleston. CSXT obviously transported the containers from Charleston to Nashville, but this cannot be sufficient by itself to establish jurisdiction over CSXT's subsequent actions as a rail carrier. Otherwise, the Commission's stated principle that a party must be acting as a regulated entity with respect to the specific conduct at issue would be meaningless, and the Commission could simply assert jurisdiction over any party that picked up a container at a port, no matter how attenuated the actual dispute is from ocean shipping or marine terminal operations.

As to the second consideration, the third-party complaint includes factual allegations inconsistent with the contention that CSXT assessed the disputed charges pursuant to Dey's contract with Hapag. Hapag alleges that "[a]fter free time expired, Hapag's delivery obligations ended and CSX was handling and storing the cargo on behalf of [Dey]." Third-Party Compl., ¶ 38. CSXT "established the charges applicable to the storage of containers on its facility," and "independently" assessed, billed, collected, and retained the \$136,500 in storage charges that are at issue Dey's complaint. *Id.* at ¶¶ 29-33. While I am sceptical of Hapag's factual contentions, for purposes of a motion to dismiss, I must assume these allegations to be true. If Hapag's contractual obligations to Dey ended once free time at CSXT's rail yard expired, at which point the disputed charges arose under some separate CSXT tariff or service contract, as Hapag apparently contends, then I cannot reasonably infer that the Commission has jurisdiction over disputes involving the CSXT charges. Without any facts from which to conclude that CSXT did act as a marine terminal operator with respect to the containers at issue in the complaint, and combined with Hapag's assertion that CSXT's charges were not pursuant to an ocean carrier service contract or tariff, Count I, for violation of § 41102(c), cannot be supported and must be dismissed for lack of jurisdiction.

With respect to Count II, § 41104 is expressly applicable only to common carriers, and Hapag does not allege that CSXT is a common carrier within the meaning of the Shipping Act.³ Rather, Hapag alleges that CSXT is liable as "any other person" as described in § 41104(a)(14).

³ (7) Common carrier.--The term "common carrier"—

(A) means a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 U.S.C. § 40102(7).

Third-Party Compl., ¶ 46. Besides being contrary to common usage (“either alone or in conjunction with any other person” is a phrase describing the potential liability of a “common carrier,” not a list of other entities that might be liable), this theory that “any other person” may be liable for a violation of § 41104(a) has been rejected by the Commission:

The 88-27 Complainants continue to argue that the Commission may reach the Associations under section 10(b)⁴ because their alleged negotiation and enforcement of the Rules on Containers was done “in conjunction with” the carriers. This is a distortion of the statute. Section 10(b) forbids carriers from certain practices undertaken by the carriers alone or with other persons. It does not provide that if a carrier engages in one of the condemned activities “in conjunction with” someone else, that other person has violated the statute as well and is equally liable for reparations to an injured party. As section 10(a) shows, Congress did make all “persons” liable for some Shipping Act violations. In enforcing section 10(a), the Commission may reach any U.S. or foreign individual or enterprise. If Congress had wished to make a similar choice with respect to the practices covered by section 10(b), the statutory language would have so indicated. The legislative history of the 1984 Act reflects awareness on Congress's part that section 10(b) was more restricted in coverage than section 10(a).

The phrase “in conjunction with” was carried over into section 10(b) from section 16 First of the 1916 Act. Although the legislative histories of the 1916 Act and the 1984 Act do not evince any specific purpose behind the phrase, the ALJ's surmise that it was meant to foreclose carriers from certain defenses is supported by precedent....These rebuffs of carrier efforts to shift responsibility for discriminatory practices to “other persons” are consistent with our conclusion that section 10(b) regulates only carrier practices.

Int'l Assoc. of NVOCCs v. Atlantic Container Line, Docket No. 81-5, 1990 WL 427461, at *12 (FMC Feb. 5, 1990) (internal citations omitted). Since CSXT is not a common carrier, Count II must be dismissed.

Nor does *Plaquemines* dictate a different result. In that case, the court held that even where the port district did not own or operate the marine terminal facilities, its control over access to those facilities, and assessment of fees for the purpose of funding essential fire and emergency services to those facilities, rendered it a “marine terminal operator” for purposes of the Shipping Act. *Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Comm'n*, 838 F.2d 536, 543 (D.C. Cir. 1988). Hapag's argument that CSXT “has complete control over [its]” Nashville rail yard does not make CSXT a marine terminal operator under the rationale of *Plaquemines* where the Nashville yard is not a marine terminal.

C. The applicability of *TCW v. Evergreen* and Intermodal Motor Carriers Conference

Hapag argues that *TCW v. Evergreen* establishes a nucleus-of-operative-fact test for jurisdiction over otherwise unregulated entities. Since the Commission has jurisdiction over

⁴ Referring to former section 10(b) of the Shipping Act of 1984, now 46 U.S.C. § 41104(a).

Dey's claims against Hapag regarding CSXT's per diem charges to Dey, it also has jurisdiction over Hapag's third-party claims regarding those same charges.

Dey argues that the holding in *Intermodal Motor Carriers Conference*, establishes that Commission jurisdiction extends to "ocean common carriers and chassis used" in ocean transportation, including related detention and demurrage practices of rail carriers moving cargo under maritime contracts. Since CSXT's per diem charges at its Nashville facility arose under a maritime contract, the Commission has jurisdiction over Hapag's third-party claim against CSXT with respect to those charges.

CSXT contends that Dey and Hapag's reading of *TCW v. Evergreen* is overbroad – it applies to situations where the allegedly unregulated entity is the express agent acting at the direction and for the benefit of the ocean carrier or where it appears that the entity may in fact be regulated pending the outcome of discovery. That is not the case here, and *TCW v. Evergreen* does not overrule prior cases regarding subject matter jurisdiction. CSXT also argues that Dey's reliance on *Intermodal Motor Carriers Conference* is misplaced because that case affirms jurisdiction over ocean carrier practices affecting otherwise unregulated inland transportation, not the practices of nonregulated entities. Since CSXT is not a marine terminal operator or other regulated entity, this case is not relevant to the question of jurisdiction over CSXT.

As to *TCW v. Evergreen*, the Commission's decision, to the extent it's relevant here, appears to apply to situations where the party challenging jurisdiction is an agent acting on behalf of a regulated entity:

As explained by the [Small Claims Officer ("SCO")], and supra, Respondent, Evergreen Joint Service Agreement is an ocean common carrier and thus undeniably subject to the requirements of section 41102(c). Evergreen Shipping Agency imposed the per diem charges at issue on the ocean common carrier's behalf, thereby acting as its agent. The SCO ruled that because the practice at issue occurred during the through transportation of international oceanborne shipping provided by a VOCC, the Commission has jurisdiction to adjudicate whether the charges imposed by the agent during the inland portion of the through transportation, which it then passed on to the VOCC, violate the Shipping Act.... Further, the SCO reasoned that "the claim against Evergreen-Agent arises "out of a common nucleus of operative facts" with the claim against Evergreen-Principal, over which the Commission has jurisdiction as a VOCC." *Id.*; see also, *Action Embroidery Corp. v. Atl. Embroidery, Inc.*, 368 F. 3d 1174, 1180 (9th Cir. 2004) ("A court may assert pendent personal jurisdiction over a defendant with respect to a claim for which there is no independent basis of personal jurisdiction so long as it arises out of a common nucleus of operative facts with a claim in the same suit over which the court does have personal jurisdiction").

TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp., et al., Docket No. 1966(I), 2022 WL 18068977, at *4 (FMC Dec. 29, 2022). Hapag and Dey base their argument around the "common nucleus of operative facts" language, but the actual operative facts in *TCW* do not align with their argument. A review of the Small Claims Officer's decision reveals that the key "operative facts" on which the decision are based are the facts establishing the principal-agent relationship between VOCC Evergreen Line Joint Service Agreement and Evergreen Shipping Agency

(America) Corp. The SCO found that the facts showed not only that the disputed per diem charges occurred during the inland portion of through transportation (which is also the case here) but that Evergreen Shipping Agency (the agent) signed the agreement under which the per diem charges were imposed, collected the per diem charges, and passed them along to the VOCC (which is not the case here). *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp., et al.*, Docket No. 1966(I), 2021 WL 794708, at *14–15 (SCO Feb. 19, 2021).

While *TCW* may stand for the proposition that a company carrying out the business of a regulated entity as its local agent or holding itself out as a regulated entity by entering agreements under its own name (but which are in fact for the benefit of the regulated entity) may be subject to Commission jurisdiction, it does not appear to stand for the proposition that the Commission will exert jurisdiction over any otherwise unregulated entity involved in some aspect of through transportation. And there is no factual allegation in the complaint that supports an argument that CSXT was acting as Hapag’s agent with respect to the charges it assessed at its Nashville railyard. Rather, Hapag is careful to point out that its contractual obligations with respect to Dey’s shipments had already ended, and CSXT acted on its own initiative and for its own benefit, without any input from or control by Hapag. Third-Party Compl., ¶¶ 29-33, 38.

As for *Intermodal Motor Carriers Conference*, the ALJ ruled that the Commission had jurisdiction over the complaint because it alleged violations of the Shipping Act by ocean common carriers and their agents at ports and inland intermodal terminals where they engage in the interchange of containers and chassis moving in international maritime commerce. *Intermodal Motor Carriers Conference v. Ocean Carrier Equipment Management Association Inc.*, Docket No. 20-14, 2023 WL 1963455 at *19 (ALJ Feb. 6, 2023). But the decision goes on to observe that the Commission did not intend to extend jurisdiction over otherwise unregulated entities that were chassis providers, and that no such entities were parties to the case:

Discussing the issue of section 41102(c) as it relates to chassis providers, the Commission noted in the Section 41102(c) Final Rule that section 41102(c) “does not cover chassis providers who do not otherwise fall within the definition of a regulated entity under the Shipping Act.” Section 41102(c) Final Rule, 85 FR 29650 n.185. Therefore, this proceeding does not seek to adjudicate claims against chassis providers that are not FMC-regulated entities.

* * *

As noted above, this case is not about regulating non-FMC-regulated providers of chassis or IEPs, just as the Commission's action in *California Stevedore & Ballast Co. v. Stockton Port District* was not about regulating stevedoring. Docket No. 898, 7 F.M.C. 75, 81 (FMC Jan. 25, 1962) (“Respondents' second claim that section 15 does not apply, and that we lack power to strike down an unjust and unreasonable practice setting up a stevedoring monopoly, because we lack power to regulate the stevedoring business, is also without merit, and a plain non sequitur. Our action in condemning and preventing such unjust and unreasonable practices does not constitute regulation of stevedoring.”).

Intermodal Motor Carriers Conference, 2023 WL 1963455 at *20-21.

The Commission has since affirmed this decision, cautioning that it may not circumscribe its jurisdiction too narrowly – this is important because no other forum has original jurisdiction over Shipping Act claims and because the “Commission is also uniquely positioned to judge whether its regulated entities’ practices are reasonable and fair.” *Intermodal Motor Carriers Conference, American Trucking Ass’n, Inc. v. OCEMA, et al.*, Docket No. 20-14, 2024 WL 641501 at *12 (FMC Feb. 13, 2024) (further noting that the Commission’s “experience monitoring ocean common carriers and expertise in assessing supply chain logistics and chassis-related issues is particularly relevant in this case”). The Commission further pointed out that it has repeatedly held that “its jurisdiction does not end at the port’s boundary.” *Id.* However, the Commission also noted that the individual ocean common carriers’ status as regulated entities was not in dispute, and that the undisputed facts clearly demonstrated that the conference defendants were subject to Commission jurisdiction as they were operating solely under authority of their FMC-filed agreements, represented the interests of their ocean common carrier members, and acted on their behalf. *Id.* at 10. It was the inland practices of these indisputably regulated entities that was at issue in *IMCC*.

In contrast to the respondents in *IMCC*, CSXT is not an ocean carrier, or, generally, a marine terminal operator indisputably subject to the Shipping Act. It is a rail carrier generally subject to the jurisdiction of the STB. Jurisdiction over CSXT for purposes of this case must therefore depend on the specific facts pleaded in Hapag’s third-party complaint. The fact that the alleged violations in this case occurred at CSXT’s inland rail yard is not by itself determinative of the question of jurisdiction, but combined with Hapag’s assertion that CSXT was not acting as its agent or pursuant to its contract with Dey, it appears Hapag has pleaded itself out of the Shipping Act. If CSXT was not acting as its agent, then *TCW* is inapplicable, and if there is no pleaded connection to an ocean carrier or operation of a marine terminal – other than the fact that CSXT had previously moved the containers from the terminal in Charleston to its inland rail yard pursuant to its agreement with Hapag – then the conclusion that the Commission lacks jurisdiction over subsequent events at the Nashville rail yard, even under the broad jurisdictional scope reaffirmed in *IMCC*, seems unavoidable. On its face, Hapag’s third-party complaint alleges that a rail carrier assessed demurrage on its own terms, unconnected to Hapag, at its inland rail yard, for which Hapag cannot recover under the Shipping Act.

D. The relationship of the jurisdictional analysis to the merits

Dey argues that CSXT’s contention that it is not a regulated entity, despite acting as the subcontractor to an ocean carrier and assessing charges on cargo moving on the inland leg of ocean transportation, is bound up with merits of the claim, and so dismissal at this stage is premature. CSXT responds that its motion to dismiss is a facial challenge to Hapag’s third-party complaint – even assuming all Hapag’s alleged facts to be true, the third-party complaint does not plead sufficient facts to plausibly establish jurisdiction over CSXT and so dismissal is not premature. Dey relies on *Thompson Pipe Group, Inc. v. Omni Logistics LLC*, for the proposition that when a jurisdictional inquiry is bound up with the merits of a claim, a full trial may be necessary and dismissal premature. Docket No. 22-31, 2023 WL 2240480 at *3 (ALJ Feb. 24, 2023).

The Commission favors addressing “jurisdictional issues before addressing the merits of a case.” *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (1999).

At the same time, the Commission does recognize that an agency could bypass deciding a jurisdictional issue and proceed to decide the merits of a case when the merits and jurisdiction are intertwined and when the merits were so easy to decide that “the better use of administrative resources warrants a disposition on the merits without a finding of jurisdiction.” *Id.* That is not the case here. Moreover, *Thompson Pipe Group* is readily distinguished from this case – in that case, Respondents were regulated entities and the question was whether they operated as non-vessel-operating common carriers (NVOCCs) on the relevant shipments. *Id.* In this case, the question is whether third-party respondents are regulated entities to begin with. Furthermore, the cases cited by the presiding officer in *Thompson Pipe* do not address the type of facial attack made by CSXT here, challenging the existence of subject matter jurisdiction based on the assumption that the facts in the third-party complaint are true. Rather, those cases discuss how a court should handle a factual challenge, noting that a court must assure itself that it has jurisdiction before proceeding with a case. In such a case, the defendant may submit affidavits and evidence or request an evidentiary hearing limited to jurisdiction. Once the evidence is submitted, the district court must resolve the jurisdictional question – the only exception is when it is so bound up with the merits that a full trial is necessary. *Osborn v. United States*, 918 F.2d 724, 730 (8th Cir. 1990) (citing *Crawford v. United States*, 796 F.2d 924 (7th Cir. 1986)).

An example would be a case in which a plaintiff alleges that a government physician’s failure to diagnose, treat, or warn of a condition caused the plaintiff to deteriorate. Whether and when the physician diagnosed the condition is central to the plaintiff’s negligence claim, but it is also central to the question of when the plaintiff knew or reasonably should have known that the failure to diagnose was causing his condition to deteriorate. That is the point, for purposes of a tort claim against the government, when the plaintiff’s claim accrues, and failure to initiate an administrative claim process within a certain period after accrual deprives the district court of jurisdiction. So a factual issue central to a jurisdictional challenge (that the plaintiff did not timely commence the administrative claims process) would in that case also be central to the merits of plaintiff’s negligence claim (the timeliness of the diagnosis and treatment). *See Augustine v. United States*, 704 F.2d 1074, 1078–79 (9th Cir. 1983).

That is not the case here. CSXT’s motion assumes the facts in the third-party complaint to be true and argues that the facts do not plausibly establish that it is a regulated entity (a marine terminal operator) over which the Commission has jurisdiction. There is nothing about that question that is so inextricably bound up with the question of whether CSXT’s chassis policies and resulting demurrage charges constitute an unreasonable practice for purposes of § 41102(c) so as to make it impossible to assess whether the third-party complaint alleges that CSXT is subject to Shipping Act jurisdiction as a marine terminal operator.

III. Order and Briefing Schedule

For the reasons stated above, CSXT’s motion to dismiss the third-party complaint is **GRANTED** and the third-party complaint is hereby **DISMISSED**. The parties previously stated that, in the event CSXT remained in the case, they would need additional time for discovery, and requested a stay of the briefing schedule on that basis. With CSXT dismissed, it appears that no

further discovery is necessary, and briefing may resume. The parties are **ORDERED** to adhere to the following briefing schedule:

June 17, 2024	Complainant's Brief, Proposed Findings of Fact, and Appendix
July 17, 2024	Respondent's Brief, Proposed Findings of Fact, Appendix, and Response to Complainant's Proposed Findings of Fact
August 1, 2024	Complainant's Reply

ALEX
CHINTELLA
Alex M. Chintella
Administrative Law Judge

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